DEAL CAPTURE FORM & CONTRACT ANNEXURE CHECK-LIST

Contract Date: 2018-05-02

Place: _BANGALORE_ **and IMS ADVENTAN Reference NO.**_____

DEAL CAPTURE FORM	
Parties to the Contract : **1st Party :** IKEA India Private Limited Unit No. 421, DLF Tower A, Jasola District Centre New Delhi – 110044, India	
2nd Party : Nihva Technologies (P) Limited 187, G-Block, 1st Floor, Thermax Chowk, MIDC, above Renault Showroom, Chinchwad, Pune – 411019, India	
Nature of Contract/Purpose/Scope (Brief Note) : Supply & Installation of Dock Leveller at all IKEA Sites **Date of the Stamp Paper/ Franking Date:** _____	
Contract Initiated By (with Contact Details)	Anurag Yadav
Contract Start Date	May 2, 2018
Contract End Date	Until terminated by either party giving 60 days written notice
Term / Period of the Contract	
Consideration / Price to be paid by IKEA	Ref. Appendix 2
Additional comments / Terms / Commercials agreed upon:	Agreement is for Retail & DS both.
Whether Contract has any Arbitration Clause	**Yes**
Whether Agreement has any Renewal Clause	**Yes**
Whether Agreement has any Exit/Termination Clause	**Yes**
Checked by (Legal) **Name:** Vandhya Prakash **Designation:** Property Lawyer	**Signature – Date** Vandhya Prakash 17/5/18
Checked by (Tax Department) **Name:** **Designation:**	**Signature (Wherever Applicable)- Date**
Approved by (Service/Product Owner) **Name:** **Designation:**	**Signature – Date**

DEAL CAPTURE FORM & CONTRACT ANNEXURE CHECK-LIST

Contract Date: 2018-05-02

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Nature of Contract/Purpose/Scope (Brief Note) : Supply & Installation of Dock Leveller at all IKEA Sites **Date of the Stamp Paper/ Franking Date:** _____	
Contract Initiated By (with Contact Details)	Anurag Yadav
Contract Start Date	May 2, 2018
Contract End Date	Until terminated by either party giving 6 months written notice
Term / Period of the Contract	
Consideration / Price to be paid by IKEA	Ref. Appendix 2
Additional comments / Terms / Commercials agreed upon:	Agreement is for both DS & Retail
Whether Contract has any Arbitration Clause	**Yes**
Whether Agreement has any Renewal Clause	**Yes**
Whether Agreement has any Exit/Termination Clause	**Yes**
Checked by (Legal) **Name:** Sandhya Prakash **Designation:** Property Lawyer	**Signature – Date** Sandhya Prakash 18/5/2018
Checked by (Tax Department) **Name:** **Designation:**	**Signature (Wherever Applicable)- Date**
Approved by (Service/Product Owner) **Name:** Bimal Patel **Designation:** Distribution Operations Manager	**Signature – Date**  18/5/2018

	CONTRACT ANNEXURE CHECK-LIST	
SL. No.	**Description of Documents**	**Attached - Yes/No**
1	**List of the below documents if the party is** **-Proprietorship Documents /or** **a. Registration Certificate/ Trade licence** **b. Pan & GST Regn. No.** **-Partnership Documents /or** **a. Partnership Registration Certificate** **b. Trade licence** **c. Pan & GST Regn. No.** **d. List of Partners with Address and Contact Nos.** **-Company Documents -** **a. CIN. No** **b. Pan & GST Regn. No** **c. Contact Value more than INR I million need MOA & AOA**	No
2	**If Company - need board resolution / POA of the person for signing the documents**	No
3	**Frame Agreement**	Yes
4	**GENERAL PURCHASING CONDITIONS (GPC) for the supply of Products – Signed Copy**	Yes
5	**Contact details Form**	Yes
6	**IKEA Group Business Ethics principles – Signed Copy**	Yes
7	**I-Way Document – Signed Copy**	Yes
8	**IKEA Purchase order format II - signed Copy**	No
9	**Anti- Bribery Clause (ABC) – Signed Copy**	Yes
10	**Any other documents relevant for the performance of the Contract**	
	a.	
	b.	
	c.	
	d.	

Frame Agreement No.: _____

FRAME AGREEMENT

Between

IKEA India Private Limited Unit No. 421, DLF Tower A, Jasola District Centre New Delhi – 110044, India ("**IKEA**")	Nihva Technologies (P) Limited 187, G-Block, 1st Floor, Thermax Chowk, MIDC, above Renault Showroom, Chinchwad, Pune – 411019, India ("**Supplier**")
IKEA reference: Dinesh Selvarasu/dinesh.selvarasu@ikea.com	Supplier reference: Vijay Tarak/vijay.tarak@nihva.com

"**Ingka Group**" shall mean any and all companies ultimately owned, directly or indirectly, by Ingka Holding B.V. and "**IKEA Company/IKEA Companies**" shall mean any company/companies within Ingka Group.

Term and termination:

This Frame Agreement (which includes the terms set out in this main document and its Appendices) shall become effective as of 2nd May 2018 and remain valid (subject to early termination) until terminated by either of the parties giving six (6) months written notice.

Notices:

Any notice required or permitted to be given by either party under the Frame Agreement shall be made in writing and delivered by (a) personal delivery or (b) courier or (c) sent by registered mail to the address of the other party/ies as stated above and shall be deemed received a) if delivered by personal delivery, upon receipt; b) if sent by courier, the date of receipt; (c) if sent by registered mail, five (5) business days from the date of dispatch. A party may change its address details by written notice to the other party in accordance with the procedure set out above.

Miscellaneous:

This Frame Agreement replaces any previous written or oral agreements amongst the parties on the subject matter hereof. No modification, amendment, alteration or waiver of any provision thereof will be binding upon the parties unless made in writing and signed by all the parties by their duly authorized representatives. In case of conflicts, the terms and conditions set out in this main document shall prevail over the Appendices and Annexes, and the Appendices and Annexes shall prevail in the order listed below.

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IKEA INDIA PRIVATE LIMITED

Appendices

1. General Purchasing Conditions
2. IKEA Product Specification & Prices
3. IKEA Group Business Ethics Principles

4.1 The IKEA Way on Purchasing Materials, Products and Services (IWAY)

4.2 IWAY Standard

IN WITNESS WHEREOF the parties hereto, through their authorised representatives, have executed this agreement in three copies, each party taking one copy, on the day and the year written below.

Place : BANGALORE
Date: 18-5-2018
For IKEA India Private Limited

Place : _____
Date: _____
For NIHVA Technologies Pvt. Limited

WITNESSES:

1.

2.

Appendix 1

GENERAL PURCHASING CONDITIONS (GPC)

(for the provision of Products and/or Services)

1. GENERAL

1.1 These general purchasing conditions for the supply of Dock Leveller and installation Services ("**GPC**") shall apply between IKEA Company and Supplier in respect of the Dock Levellers to be supplied to the IKEA Locations as specified from time to time and extend necessary Installation Services at IKEA specified locations (both hereby termed as **"Provision of deliverables")** as detailed in the individual order/s (the "**Purchase Order**") placed in accordance with the Frame Agreement including its appendices entered into between IKEA and Supplier (the "**Frame Agreement**").

2. SUB-CONTRACTORS

2.1 Any sub-contractors appointed by Supplier provision of deliverables shall be subject to the prior written consent of IKEA Company, such consent not to be unreasonably withheld. However, Supplier shall remain solely liable for all the rights and obligations of sub-contractors such as fees / remuneration, compliance / Licence / permission requirements at the end of Sub-contractors and other acts, deed, omissions, breach and defaults of such sub-contractor to the same extent as Supplier is liable for its own actions and omissions under the Frame Agreement and IKEA shall not be liable in any manner towards any sub-Contractors with respect to above mentioned liabilities.

3. PURCHASE ORDERS AND TERMS OF DELIVERY

3.1 A Purchase Order under Appendix 6 (along with the detailed scope of work) may be executed in writing, electronic form or by any other form of communication agreed by the Parties and shall be confirmed by Supplier and returned to IKEA Company without delay. The Purchase Order shall be binding on Supplier upon confirmation thereof, or, if such date occurs earlier, upon delivery of the ordered deliverables.

3.2 Supplier shall provide the deliverables in accordance with the Specification as mentioned in the Product & Service Specification and Purchase Order issued from time to time.

3.3 Any deliverables ordered in the Purchase Order shall be timely dispatched in the agreed manner. The delivery of Dock Levellers shall be accompanied with the complete list of products, specifying the name of product, quantity, rate and any other details as may be asked by IKEA and thereafter the Supplier shall also be obligated to install the same at the place earmarked for the same by IKEA.

3.4 IKEA shall provide the finished flooring and supply electricity required for installation of Dock Levellers and control panels in the Property where IKEA wants the same to be installed. IKEA shall further facilitate the Supplier in unloading the Dock Levellers at the property and also shall provide space to store the same in the property where the Dock Levellers are proposed to be installed by IKEA. IKEA shall also provide some space to the Supplier to store their tools that are required for installation of the Dock Levellers and that are brought to the Property.

3.5 The Supplier herein has agreed to supply and install the Dock Levellers of a quantity as is ordered/required/requisitioned by IKEA from time to time to be delivered and installed in various IKEA specified locations/properties. The Supplier shall also provide the required drawing for civil/structural works (if required) that are to be carried out by the Supplier during or after or simultaneously with the installation of such Dock Levellers at the properties. However, all the Civil Works that are proposed to be carried out by the Supplier shall be with prior written approval of IKEA and the costs for which will be reimbursed by IKEA on actuals to the Supplier. In the event of the Supplier damaging any of the Civil or other works of IKEA because of their negligence, the Supplier shall be solely liable to repair the same as required by IKEA as the sole cost of the Supplier.

3.6 Supplier undertakes to forthwith notify IKEA in advance in case agreed delivery time cannot be met. Any delay in providing the Dock Leveller/s in such quantity shall be subject to acceptance by IKEA and IKEA shall be entitled to refuse to take the delivery of products and in such case IKEA shall not be obligated/liable to make any payment. IKEA shall also be entitled to claim liquidated damages from Supplier in such case of delay for maximum amount payable for the delivery and installation of such Dock Leveller/s which have been delayed.

3.7 Each IKEA Company shall remain solely liable for its own responsibilities and obligations as a result of its purchases under a Purchase Order. Nothing in the Frame Agreement or any Purchase Order there under shall (a) be construed as a responsibility or warranty by IKEA in relation to Supplier or IKEA Company with respect thereto or (b) prevent any IKEA Company from purchasing the Dock Leveller and installation services from another Supplier than Supplier.

4. PRICES AND PAYMENT CONDITIONS

4.1 Supplier shall provide the deliverables to IKEA Company at the prices agreed to for each purchase or the service/s as set forth in Appendix 3 to the Frame Agreement.

4.2 Payment shall be made within thirty (30) days from receipt of the invoice unless disputed by IKEA within 1 period of 15 days of receipt of Invoice. In such case of dispute, IKEA shall pay the undisputed part of the Invoice and balance amount, if payable after the resolution of dispute, shall be settled by way of issuing debit/credit note. IKEA Company, acting in good faith, may withhold or offset any amount payable to Supplier against any amount owed by Supplier to any IKEA Company. Supplier accepts that IKEA Company may at any time transfer any right, including but not limited to the right to claim compensation hereunder, to any other IKEA Company.

5. WARRANTY AND INSURANCE

5.1 Supplier warrants that (a) the deliverables conform to the Specification as described in each Purchase Order; (b) the deliverables comply with all relevant national and international laws, conventions and regulations in the country of IKEA; and that (d) it will at all times comply with the IKEA Group Policy on Business Ethics and (d) no restrictions whatsoever

shall apply to IKEA Company's use of the deliverables (or results thereof), unless otherwise expressly stated in the Specification. Supplier further warrants to comply with the requirements set out in Appendix 4, the IKEA Group Policy on Business Ethics and Appendix 5 to the Frame Agreement, the IKEA IWAY Standard, "Minimum Requirements for Environment and Social Working Conditions when Purchasing Products, Materials and Services" ("IKEA IWAY 5.1"). The Supplier shall be obligated to take an insurance cover for the representatives of the Supplier working at the IKEA specified Location/s for supply or installing the Dock Levellers. IKEA shall not be held responsible for any of the claims made by Supplier or their representatives.

5.2 Notwithstanding anything mentioned in Clause 5.1 above, the Supplier has hereby agreed to provide a warranty for the Dock Levellers for a period of 2 years effective from the date of installing each of the Dock Levellers at IKEA specified Location/property.

6. DEFECTS

6.1 IKEA Company shall notify Supplier in writing of any defects that have appeared in the deliverables, including a description of the defect. Any deliverables that deviate from the warranties set out in Section 5 shall be considered defective.

6.2 Supplier shall without delay remedy the defective deliverables at its own risk and cost, by re-performing a defective deliverables, if re-performance is reasonably convenient to IKEA Company and provides an adequate remedy of the defect. IKEA Company shall further be entitled to compensation for damages, costs and expenses within the limitations set out in Section 7 and, in case the defect cannot be timely remedied, to cancel the relevant Purchase Order.

6.3 Supplier shall be obligated and responsible to address all the service related calls received from IKEA within a maximum time of 8 hours. In the event of the Supplier failing to address the service issue within the time specified herein, the Supplier shall be obligated to bear the costs, damages and losses incurred by IKEA for such period of the service issue till the same is addressed.

7. LIABILITY, INSURANCE AND AUDIT

7.1 Supplier shall be liable towards IKEA and IKEA Company for any direct damages, costs and losses incurred due to its negligence or breach of the Frame Agreement or any Purchase Order and shall compensate IKEA and IKEA Company for any such damage, cost or loss within the limitations set out below.

7.2 Supplier's liability shall be limited to the annual aggregate amount paid and payable under any and all binding Purchase Orders.

7.3 Neither party shall be liable for loss of income, profit, goodwill or any other consequential, incidental or indirect loss or damage of any kind whatsoever. No such limitation of liability, as mentioned in Clause 7.2 and 7.3 shall however apply in case where the defaulting party is liable for (i) gross negligence or wilful misconduct, or (ii) damages arising due to personal injury or death, (iii) liability according to mandatory law, (iv) indemnification for infringement of third party intellectual property rights, or (v) breach of confidentiality.

7.4 Supplier shall secure that its liability under these GPC is covered by its general liability insurance as well as other limits and shall upon request provide satisfactory evidence to such effect.

7.5 Supplier agrees that following 10 (Ten) days' prior written notice, any and all contracts, agreements, correspondence, books, accounts and other information relating to IKEA Business on this GPC shall be available for inspection by an independent third party appointed by IKEA at IKEA's expenses. Supplier further agrees that the place of site of the Supplier may be inspected by IKEA, its co-worker or any third person without any prior notice.

8. CONFIDENTIALITY

8.1 Except for disclosure to sub-contractors and affiliates on a need-to-know-basis, neither party shall disclose to any third party any confidential information of the other party and shall not use such information other than for the agreed purpose. A Party that discloses confidential information of the other party to its sub-contractors or affiliates shall remain liable for any breach of this Section 8 by such sub-contractor or affiliate.

8.2 Supplier may not use its relationship with IKEA or IKEA Company for any marketing or financing purposes or as reference in any company presentations or press releases or in any way utilize or communicate to the public any trade name, business name, logotype or trade mark of IKEA Companies or their licensors.

9. INTELLECTUAL PROPERTY RIGHTS AND INFRINGEMENT

9.1 Supplier shall be solely responsible for any infringement, by providing deliverable to IKEA, in any intellectual property right of a third party and undertakes to indemnify and hold harmless IKEA and IKEA Company from and against any and all damages costs and expenses (including reasonable attorneys' fees) incurred as a result of any claim or proceeding brought by any third part against IKEA or any IKEA Company based on a claim that the deliverables constitute an infringement of any third party intellectual property rights (including but not limited to trademarks, copyright, patent and rights to design), whether registered or not.

10. FORCE MAJEURE

10.1 Any circumstances beyond the reasonable control of a party such as fire, war, military mobilisation, requisition, seizure, currency restriction, insurrection, civil commotion or decisions by local, regional, national or supranational governing bodies shall be considered force majeure and shall relieve the affected party of its duties hereunder to the extent that such circumstances materially impede such party's performance or make the performance unreasonably onerous.

10.2 The party wishing to claim relief shall notify the other party in writing without delay. The other party shall be entitled to cancel any Purchase Order with immediate effect by giving written notice if the delivery is delayed for more than one month by reason of force majeure.

11. TERMINATION

11.1 In the event that a party (a) becomes insolvent; (b) a receiver is appointed for a substantial portion of its assets; (c) terminates or suspends its business activities, or (d) commits a breach of any of the provisions set forth in the Frame Agreement or the Purchase Order which is not cured within fifteen (15)

days after receipt of notice thereof, the non-defaulting party to the Frame Agreement shall be entitled to terminate the Frame Agreement in whole or in part to expire immediately upon notice and the non-defaulting party to the Purchase Order shall be entitled to cancel the Purchase Order. The Frame Agreement shall stand terminated immediately without notice in the event of violation of any term of the IKEA IWAY 5.1 Policy in Appendix 5 or IKEA Group Policy on Business Ethics in Appendix 4

11.2 Expiration or termination of the Frame Agreement shall not relieve the Supplier and IKEA Company respectively of their then outstanding and unfulfilled obligations or liabilities including due to any Purchase Order issued thereunder.

12. CONFLICT OF INTEREST

12.1 Supplier covenants and agrees not to consult or provide any deliverables in any manner or capacity to a direct competitor of IKEA during the duration of this Agreement unless an advance intimation to do so is given to IKEA in writing.

12.2 An organizational conflict of interest means or refers to a situation where due to other activities or relationships with other persons, Supplier is unable or potentially unable to render impartial assistance or advice to IKEA in delivering the deliverables.

12.3 The Supplier further agrees that if after award it discovers a potential organizational conflict of interest, a prompt and full written disclosure shall be made in writing to IKEA. This disclosure shall also include a description of the actions, the Supplier has taken or propose to take, in order to avoid or mitigate such conflicts.

13. GOVERNING LAW AND DISPUTE RESOLUTION

13.1 The Frame Agreement and any Purchase Order shall in all respects be governed by and construed in accordance with the substantive laws of India.

13.2 Any dispute, controversy or claim arising out of or in connection with the Frame Agreement or any Purchase Order or the breach, termination or invalidity thereof, shall be settled by the courts. The Courts of New Delhi shall have exclusive jurisdiction.






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Appendix 2.
IKEA Product Specification & Prices

1 INTRODUCTION

1.1 Standard

This document describes IKEA's Requirements, Products and Prices for Dock Levellers for India.

Products and services must always comply with national, regional, or local laws, norms, authority requirements, etc. (if these are higher than IKEA's requirements).

1.2 Contact Detail

Any notice required or permitted to be given by either Party under the Frame Agreement shall be made in writing and delivered by/to personals below. A Party may change its reference details by written notice to the other Party in accordance with the procedure set out below 'Notices' clause on the Frame Agreement.

IKEA India Private Limited
Pavan Kumar
Purchaser
Phone +91-9535500991
pavan.kumar2@ikea.com

Nihva Pvt. Ltd.
Vijay Tarak
Managing Director
Phone +91 8551093333
Vijay.tarak@nihva.com

2 DESCRIPTION OF REQUIREMENTS

2.1 Frame Agreement, General Purchasing Conditions, Product Specification & Prices, Business Ethics and IWAY

All supply of products and services must always comply with Frame Agreement, Appendix 1. General Purchasing Conditions, Appendix 2. IKEA Product Specification & Prices, Appendix 3. IKEA Group Business Ethics Principles, Appendix 4.1 The IKEA Way on Purchasing Material, Products and Services (IWAY) and Appendix 4.2 IWAY Standard.

2.2 Permits, Licenses and Certification

The Supplier shall have all applicable permits, licenses, insurance and certifications that are required by applicable national, regional, and local authorities which needed to be legally compliant to carry out all supply of products and services.

2.3 Pricing

Prices shall be valid for orders placed before May 2, 2020 and exclude GST, federal, provincial, state and local taxes.

The currencies used are Indian Rupees INR.

2.4 Terms of Payment

25% of the order value as advance on receipt of proforma invoice and 75% of order value within Thirty (30) days from receipt of invoice.

2.5 Time of Delivery

Time of delivery from Supplier's location is

a) NIHVA Make - Five (5) weeks from payment of advance
b) ASSA ABLOY Make – Twenty (20) weeks from payment of advance

2.6 Terms of Delivery

Terms of delivery is Delivered At Place (DAP, Incoterms 2010, www.iccwbo.org) IKEA locations.

2.7 Packaging and Shipping

Supplier shall ensure that the products will be packaged and shipped in such a way that minimizes any potential for damages and deterioration before they reach the final destination.

a) For Delivery within PUNE City
Delivery within the city of PUNE will at supplier's cost

b) For Delivery Outside PUNE City
Supplier shall book the transport to the agreed address and invoice the actual freight cost to IKEA. The freight invoice shall be attached together with the invoice for the products for all other locations excluding Pune.

2.8 Invoicing

Invoices shall be sufficiently detailed to enable the receiver to identify all chargeable items and shall without exception contain the following minimum information:

a) Type of document (invoice, credit note);
b) Buyer's name and address;
c) Buyer's contact person;
d) Buyer's cost centre;
e) Buyer's account number;
f) Sufficient payment information on Supplier;
g) The invoice reference number;
h) The Purchase Order number;
i) Date of issue;
j) Supplier's name, address and GST number, PAN number;
k) GST rate and amount;
l) Invoiced amounts (net (GST, gross);
m) Currency;
n) Terms of payment;
o) The invoicing period to which the invoice refers;
p) The Location to which the relevant product or services have been delivered;
q) Details of the chargeable service function as required by IKEA;
r) Supplier's bank and bank account details, and
s) Any additional information required under local laws and in accordance with IKEA's local invoicing process, if any.

2.9 Warranty

Products supplied by the Supplier shall be guaranteed against defects in material and workmanship for Two (2) years.

Replacement of products shall be the responsibility of Supplier at no extra cost to IKEA.

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IKEA INDIA PRIVATE LIMITED

2.10 Governance

To review and efficient co-operation regular meetings shall be held between the Parties. Minutes shall be taken at all meetings and distributed to the participating entities. The respective Parties shall bear their own costs associated with arranging and attending meetings.

3 DESCRIPTION OF PRODUCTS AND PRICES

Prices for products, which shall reflect Description of Requirements as specified in Section 2 and include all costs for product, packaging and overhead.

Prices shall be valid for orders placed before May 2, 2020 and exclude GST, federal, provincial, state and local taxes.

The currencies used are Indian Rupees INR.

Manufacturer Name	Product Description	Cost per Unit (INR)
NIHVA	Dock Leveller - 6 Ton (Static Load)	1,90,00.00
NIHVA	Dock Leveller - 9 Ton (Static Load)	2,10,000.00
ASSA ABLOY	Dock Leveller - 6 Ton (Static Load)	2,40,000.00
ASSA ABLOY	Dock Leveller - 9 Ton (Static Load)	3,60,000.00
NIHVA	1 Pair of Rubber Bumpers – 250 x 250 x 100 mm	3,700.00
NIHVA	Flashing lights	7,000.00

Technical Specification – Dock Leveller

Embedded hydraulic dock leveler with swing lip finished with paint of RAL code approved by IKEA/orderer, operated by 2 hydraulic cylinders for Deck & 1 hydraulic cylinder for LIP and a Standard Control Panel (Deck Up / Down / Lip Up /Down). Lower frame manufactured in laminated profiles, top area by a non-slippery tear plate in 6/8 thickness, 13/15 tear plate swinging lip with milling end.

1HP Hydraulic flow pump of capacity 5 litres/min and a 7 Litres tank. Including an electro value at 24V and an emergency stop button. Hydraulic cylinders to have security valve to prevent leakage during an event of tube breaking.

Ramp to be designed as per UNE 1398

Accessories to included: 1 Pair of Wheel choke, 1 Pair of Dock Bumper & 1 no of Flashing Light

4 DELIVERY ADDRESSES

Delivery address of the products are the following:

IKEA India Private Limited, Bangalore, India
IKEA India Private Limited, Gurgaon, India
IKEA India Private Limited, Hyderabad, India
IKEA India Private Limited, Mumbai, India
IKEA India Private Limited, Pune, India
IKEA India Private Limited, Chennai, India

Appendix 3.
IKEA Group Business Ethics Principles



IKEA Business Ethics

Dear Business Partner!

You receive these guiding principles as you are about to contract with a company in the group of companies ultimately owned by Ingka Holding B.V. (IKEA Group).

At IKEA Group, we are guided and inspired by our vision "to create a better everyday life for the many people", our business idea and our values. Together they describe and promote a long- term view on doing good business, help create a high degree of trust and build solid and sustainable relationships.

We put high expectations on ourselves to perform our business in an honest, open and ethical way. These expectations are also shared by our customers, business partners and society in general. Corruption is contradictory to the objective of doing good business. It damages the confidence our co-workers, suppliers, customers and other stakeholders have in the IKEA Group and in the IKEA brand. Furthermore, corruption undermines the rule of law, distorts markets, and denies the many people their rightful share of resources.

Therefore, we do not accept corruption in any form. By "corruption" we mean misuse of an official duty for unofficial and undue personal advantages or advantages to others. We also have zero tolerance towards fraud and bribery as well as benefits, favours and omissions which are considered illegal, unethical or a breach of trust.

- No one, co-worker or business partner, acting on behalf of the IKEA Group or with whom the IKEA Group has a relation (including suppliers, vendors and contractors) may directly or indirectly request, offer, pay, accept or receive bribes or conduct other corrupt practices.
- The IKEA Group does not allow any form of facilitation payments.
- The IKEA Group co-workers do not ask for gifts or hospitality and are strongly advised not to accept and/or provide gifts or hospitality from or to any business partner or third party. If and when the IKEA Group accepts or provides gifts, this is done in a transparent and approved way.

You are requested to inform all your co-workers involved in the business with IKEA Group about the content of this message to ensure their compliance with these principles. If your company has a Code or policy on Business ethics which is related to the content of this document, you are welcome to enclose this with your confirmation.

Throughout the course of our future relationship, we urge you as our business partner to inform IKEA Group, locally or centrally, of any attempt or request from any IKEA Group co-workers to get or offer inappropriate benefits.

Trust and honesty are cornerstones of our culture; however we reserve the right to enquire or investigate in case of suspicion of corruption.

For IKEA Group:

Alistair Davidson
CFO Ingka Holding B.V.

Petra Hesser
Human Resources Manager IKEA Group

Confirmed by business partner:

[VIJAY TARAK]
[DIRECTOR]

NIHVA TECHNOLOGIES PVT. LTD. PUNE

Appendix 4.1
The IKEA Way on Purchasing Material, Products and Services (IWAY)

PUNE * NIHVA TECHNOLOGIES PVT. LTD. *

Appendix 4 to Frame Agreement

The IKEA Way on Purchasing Products, Materials and Services (IWAY) Compliance Commitment

1. General Requirements

1.1 Seller undertakes to at all times comply with all relevant local, national and international laws, regulations and provisions applicable in the country of production and/or country where services are provided, and any additional requirement stated in IWAY Standard as defined below which may go beyond such laws, conventions, regulations and provisions.

1.2 Seller shall upon request inform IKEA about the location of facilities where products for IKEA are manufactured and/or services for IKEA are carried out, as well as upon request provide contact details and locations of its sub-contractors and suppliers of raw materials, components and/or services.

2. Fulfilment of IWAY Standard Requirements

2.1 In addition to the requirements stated in section 1 of this appendix, Seller undertakes to implement and at all times fulfil all requirements stated in the IWAY Standard ed. 5.2 dated 2016-04-29 (incorporated herein by reference) within 12 months from the date of first delivery under this agreement.

2.2 IKEA and/or by IKEA appointed third party auditing organisation is entitled to perform announced and unannounced audits and inspections at Seller's and/or sub-contractors facilities. Seller shall allow for confidential interviews with its employees and shall maintain and allow access to all IWAY related documentation and records as required. The Seller shall in good faith support IWAY audits to the extent required to confirm compliance to IWAY. IKEA is committed to avoid or minimize disruption of Seller's production/operation during the audit process.

2.3 If Seller does not implement and adhere to the requirements contained herein, this will constitute a material breach of any contract and agreement with IKEA, and IKEA may at its sole discretion and without any compensation to Seller, immediately terminate all existing agreements with Seller, and cancel any existing orders.

Appendix 4.2
IWAY Standard

NIHVA TECHNOLOGIES PVT. LTD. * PUNE *

IWAY Standard

Minimum Requirements for Environment and Social & Working Conditions when Purchasing Products, Materials and Services.

Approved By:	Date:	Edition:
IWAY Council	2016.04.29	5.2

IWAY Standard

Introduction

Guiding principles

At IKEA we recognise that our business has an impact on people and the planet, in particular people's working conditions, as well as the environment, both locally and globally.

We also strongly believe that we can do good business while being a good business. This is a pre-condition to our future growth that will be achieved along with *Suppliers* that share our vision and ambition.

Our guiding principles when working with environmental, social and working conditions are:

- What is in the best interest of the *child*?
- What is in the best interest of the *Worker*?
- What is in the best interest of the environment?

Through these principles we support the direction described in the IKEA Group Sustainability Strategy; "People & Planet Positive".

The fundamentals

The IKEA Way on Purchasing Products, Materials and Services (IWAY) is the IKEA Supplier Code of Conduct. It comprises the IKEA minimum requirements relating to the Environment and Social & Working Conditions (including *Child Labour*).

IWAY is based on the eight core conventions defined in the Fundamental Principles of Rights at Work, ILO declaration June 1998 and the Ten Principles of the UN Global Compact 2000.

IKEA recognises the fundamental principles of Human Rights, as defined by the "Universal Declaration of Human Rights" (United Nations 1948) and adheres to the United Nations sanction list and European Union restrictive measures list.

Legal compliance and IKEA requirements

The IKEA *Supplier* shall always comply with the most demanding requirements whether they are relevant applicable laws or IKEA IWAY specific requirements.

Should the IKEA requirement contradict national laws or regulations, the law shall always be complied with and prevail. In such cases, the *Supplier* shall immediately inform IKEA.

Confidentiality

The successful implementation of IWAY depends on co-operation, mutual trust and respect between the *Supplier* and IKEA. All observations, discussions and written information received from the *Supplier* are to be treated confidentially by IKEA, its employees and any third party organisations appointed by IKEA.

Business ethics

The values of trust, integrity and honesty are at the foundation of IWAY and are keys to its sustainable implementation. It is on this basis that we begin the relationships and through continued respect of these values that it will grow.

It is important that all IKEA co-*Workers* and external business partners understand the IKEA position on corruption and its prevention. This has been established in IKEA's approach on anti-corruption. This has been communicated to all business partners via vendor letters, which are signed by all *Suppliers*.

IWAY Standard - General Section

1. **IWAY Must Requirements**
2. **General Conditions**
3. **Business Ethics**
4. **Environment**
5. **Chemicals**
6. **Waste**
7. **Emergencies and Fire Prevention**
8. **Worker Health & Safety**
9. **Recruitment, Working Hours, Wages and Benefits**
10. **Accommodation**
11. **Child Labour and Young *Workers***
12. **Discrimination**
13. **Worker involvement**
14. **Harassment, Abuse and Disciplinary Actions**

Definitions and Glossary of terms

References

This is the General Section of the IWAY Standard. For certain parts of the IKEA Supply Chain there might also be a Specific Section, e.g. Forestry Section or Transport Section with additional or adopted requirements.

Words or expressions *in Italic* are explained / defined at the end of this document

1. IWAY Must requirements

1.1 Child labour

- *Child labour* is not used at the *Supplier*
- Proof of age documentation for all *Workers* is in place

Child labour is work performed by a *child* which interferes with a *child*'s right to healthy growth and development and denies him/her the right to quality education.
Child labour is work performed by a *child* below the *minimum working age* that has not been specifically approved by IKEA as *light work* or *apprenticeship / vocational training*, as specified in the "IKEA Way on Preventing *Child Labour* and Supporting *Young workers*".

The *minimum working age* is defined by the national legislation and is the age, above which a person can be employed on a full time basis. It can be 16 years, 15 years or 14 years in certain developing countries.

1.2 Forced and bonded labour

There is no *forced*, *prison*, *bonded* or involuntary labour.

Workers:

- have the legal right to perform work at the *Supplier* premises
- have the freedom to terminate employment at any time according to the agreed notice period, without penalty or salary deductions.
- have the freedom to leave the premises when their work shifts end.
- personal documents or other belongings are not withheld.
- have not been charged, directly or indirectly, any fees or commission related to the recruitment and/or employment process. If the recruitment agent has requested any such fee, the *Worker* has been reimbursed by the *Supplier*.
- have not been requested to provide deposits and have not payments delayed, been offered wage advances or loans with the consequence of indebting the *Worker* and binding him or her to employment.

1.3 Business ethics

Trust and transparency related to the IKEA business are ensured at all times.
There is no case of corruption or the use of bribery related to the IKEA business.
IWAY related official documents required by law are not manipulated.

1.4 Severe environment pollution

There is no severe environmental pollution, which is to be understood as pollution that is likely to spread widely from the site and where the effects will be very difficult or expensive to correct.

1.5 Severe health or safety hazards

Workers are prevented from exposure to severe health or safety hazards, which are to be understood as health or safety hazards that are likely to pose an immediate risk of causing death or permanent injury or illness.

1.6 Working hours

A transparent and reliable system for records of working hours and wages for all *Workers* is maintained by the IKEA *Supplier*.

1.7 Wages

The *Worker* is paid a wage equal to or exceeding the legal minimum wage.

1.8 *Workers' accident* insurance

The *Supplier* provides *accident* insurance to all *Workers*, covering medical treatment for work related *accidents* and compensation for work related *accidents* resulting in permanent disability.

2. General Conditions

2.1 Legal compliance
There are *routines* in place to ensure the applicable laws and regulations related to requirements in IWAY are implemented.

2.2 IWAY responsibility
An organisation and *routines* to ensure and maintain compliance with the IWAY requirements have been implemented.

2.3 IWAY at *sub-Suppliers*
The *IWAY requirements or equivalent*, including the "The IKEA Way on Preventing *Child Labour* and Supporting Young *Workers*", are communicated by the *Supplier* to all its 1st tier *sub-Suppliers* involved in providing products, materials or services for IKEA.

The *Supplier* has secured the right to perform IWAY audits at its *sub-Suppliers*.

2.4 IWAY at *critical sub-Suppliers*
In addition to 2.3 all 1st tier *sub-Suppliers* involved in providing products, materials or services for IKEA are registered by the *Supplier*.

IWAY Must compliance at 1st tier *critical sub-Suppliers* is implemented and verified by the *Supplier* according to the scope and time plan agreed with the IKEA contract partner. The results of the verification are documented and provided to IKEA upon request.

2.5 IWAY communication to *Workers*
The IWAY Standard, including specific sections when applicable, or equivalent information, is communicated to all *Workers* in a language understood by them.

In either case, the *Workers* are informed where the IWAY Standard is available to be read and have unlimited free access to the information.

2.6 Internal audits
Transparent and reliable *routines* to ensure, verify and report IWAY (or *equivalent*) compliance are implemented.

The verification is completed at least once every 12 months and records are kept for 24 months.

3. Business Ethics

3.1 Anti corruption *policy*
An anti corruption *policy* has been developed and implemented.

It includes aspects connected to the *Suppliers'* business relations with IKEA and clearly states that bribery and corruption are unacceptable.

3.2 Transparent and reliable documents and records
IWAY relevant documents, records, reports etc. are transparent, correct and reliable.

3.3 Management training
Relevant management and IKEA contact persons have been trained and are well aware of the IKEA position on business ethics.

4. Environment

4.1 Outdoor emissions to air
All applicable laws and regulations relating to emissions to air are complied with and, if required, the necessary permits and test reports are obtained.

4.2 Outdoor noise
All applicable laws and regulations relating to outdoor noise are complied with and, if required, the necessary permits and test reports are obtained.

4.3 Water discharge
Waste water is properly treated on site by the *Supplier* or discharged to an authorised external waste water treatment facility.

Effluent treatment plants (ETPs) are properly operated and maintained and are appropriate for the type and volume of effluents generated from the operations.

The staffs operating the ETP have the appropriate competence.

4.4 Ground contamination
Ground contamination is immediately acted upon.

Possible risks of ground contamination due to current and previous activities on the site are investigated and assessed.

Any contamination identified is reported to the relevant authority and dealt with according to directives from the authority. The *Supplier* keeps IKEA informed about the progress and outcome of the issue.

4.5 Environmental performance reporting
An annual environmental performance report is made available to IKEA.

The content, structure and time of reporting is defined by the relevant IKEA Organisation and includes as a minimum water and energy consumption.

4.6 Continuous improvements
Current environmental impacts from production and operations are evaluated by the *Supplier*.

Practical plans to reduce environmental impact are documented and reviewed periodically. The plans include measurable goals, responsibilities, concrete actions and timeframes. Corresponding results from the planned actions are documented.

4.7 Legal compliance
All applicable laws and regulations relating to environmental impacts and protection, but not covered by the points of this chapter above are complied with.

This includes but is not limited to environmental classification, reporting, and inspections by authorities. Required corrective actions from such inspections are documented and completed within the set timeframe.

5. Chemicals

5.1 List of *chemicals* with valid *MSDS's*
A list of all *chemicals* with the valid Material safety Data Sheet (*MSDS)* used in the production, operations or services is established, maintained and *continuously updated*.

The list includes the name of the chemical product, the purpose/area of use and a reference to *MSDS*. The *MSDS* is in a language understood by *Workers*.

If only common cleaning *chemicals*, office materials or other common chemical products with minor and well-known risks are used, a list is not required unless required by law or regulations.

5.2 *Routines* for *chemicals*
Documented *routines* for the purchasing, storage, handling, use of *chemicals* and emergency response *routines* are implemented.

If only common chemical products with minor and well known risks (e.g. cleaning *chemicals*, regular office materials etc.) are used a documented *routine* is not required.

5.3 Competence and training
Workers handling *chemicals* have the right competence and, before starting work they are adequately trained in purchasing, handling, using and storing *chemicals*.

A description of the training and records are available.

5.4 Storage, handling and transportation of *chemicals*
Chemicals are stored, handled and transported in a way that prevents emissions to air, ground and water and risks of ignition/explosion, and that protects the health and safety of *Workers*.

Applicable information regarding the risks and safe handling of chemical compounds and substances is displayed at storage areas and in operations areas where the chemical is used.

Chemical storage facilities have a floor with a hard surface which does not absorb the chemical.
If a separate containment of liquid *chemicals* is needed it is able to hold the volume of the largest barrel/tank.
All above/underground tanks containing hazardous liquids are monitored in order to prevent contamination or allow for early detection of leakages.

5.5 Labelling of *chemicals*
All chemical containers are properly labelled with appropriate and easy to understand explanations, to ensure that *Workers* are aware of the contents of the containers and the associated risks.

5.6 Legal compliance
Applicable laws and classification regulations relating to purchasing, storage, handling, use and transportation of *chemicals,* but not covered by the points of this chapter above are complied with.

6. Waste

6.1 List of waste
A list of *hazardous* and non-hazardous waste is established and maintained in order to monitor the type and quantity that is generated.

The list clearly shows which type of waste is *hazardous* and is *continuously updated*.
If only common chemical products with minor and well known risks (e.g. cleaning *chemicals*, regular office materials etc.) are used a list is not required unless required by law or regulations.

6.2 *Routines* for waste
Documented *routines* for the handling, storing, transportation, recycling and disposal of *hazardous* and non-hazardous waste are implemented.

The *routines* prevent emissions to air, ground and water and prevent risks of ignition/explosion.
The routines ensure Worker health and safety and include emergency response *routines*.

If only common chemical products with minor and well known risks (e.g. cleaning *chemicals*, regular office materials etc.) are used documented *routines are* not required unless required by law or regulations.

6.3 Competence and training
Workers handling waste have the right competence and are, before starting work, adequately trained in waste handling.

A description of the training and records are available.

6.4 Storage, handling and transportation of waste
Waste is stored, handled and transported in a way that prevents contamination of air, ground and water, prevents risks of ignition/explosion and ensures Worker health and safety.

Hazardous waste and non-hazardous waste is kept separate and stored in good order. Areas for sorting and/or storage of waste are marked and barrels/containers properly labelled.

6.5 Recycling of waste
Waste is sorted and sent for recycling to the extent that local conditions and infrastructure allows.

6.6 Licensed contractors
Contractors for transport, storage and final disposal of waste are licensed according to applicable legislation.

If appropriate licensed contractors, transport companies or end disposal companies do not exist, the IKEA *Supplier* ensures that the *hazardous* waste is kept in storage until appropriate final disposal can be assured.

6.7 Incineration / landfill on site
Hazardous waste is not land-filled or incinerated on site.

6.8 Legal compliance
Applicable laws & regulations relating to handling, storage, transportation, recycling and disposing of *hazardous* and non-hazardous waste, but not covered by the points of this chapter above are complied with.

7. Emergencies and Fire Prevention

7.1 Emergency planning
Site emergency plans are developed and implemented.

The plans are based on identified risks and established *routines* for dealing with emergency situations.
Adequate *routines* in order to eliminate, reduce, and control those risks are implemented.

As a minimum the emergency plans includes potential hazards and emergency scenarios (fire, natural disasters, chemical *accidents*, etc.), evacuation *routines* and defined roles and responsibilities during emergency situations.

7.2 *Fire incidents* and *accidents*
Any fires or *incidents* that could have caused a fire are documented. The documentation includes a root cause analysis and corrective and preventive actions.

7.3 Competence and training
An adequate number of *Workers* in each work area, covering all shifts, are trained to use the firefighting equipment.

The training covers how to use the firefighting equipment installed at the site and is conducted at least once every 24 months.
A description of the training and records are available.

Workers are made aware of basic fire safety issues before starting work. The training includes as a minimum, the proper *routines* for evacuation, location and activation of the emergency alarm.
A description of the training and records are available.

7.4 Firefighting equipment

Appropriate firefighting equipment is available.

The manual firefighting equipment is easily accessible and identifiable from a distance, properly maintained and kept unlocked.
The equipment is inspected internally or by an authorized external company at least once every 12 months. Records of maintenance are kept and/or stickers/tags placed on the equipment.

7.5 Escape routes and emergency exits

Emergency exits and routes ensure a fast and safe evacuation of all *Workers*.

As a minimum there are two independent emergency exits per working area and all emergency exits and access routes are free from obstruction.
It can be acceptable for rooms to have only one emergency exit if the number of *Workers*, the size of the room, the level of risk and the arrangement of the workplace allows all *Workers* to evacuate quickly and safely during an emergency.

All emergency exits and routes are marked with luminescent or illuminated signs visible from the main aisles and kept unlocked from inside. Emergency exits open outwards unless otherwise stated in local legislation.

7.6 Evacuation alarm

There is an independent and functioning evacuation alarm with continuous sound to notify all *Workers* about an emergency situation and to ensure a fast and safe evacuation.
In noisy environments the sound signal is complemented by a light signal.

The alarm can be manually activated and is possible to hear or observe in all areas. Alarm buttons are clearly marked and function also during power-cuts.

7.7 Evacuation drills

Evacuation drills involving all shifts and departments and as many *Workers* as possible are performed at least once every 12 months.

During an evacuation designated persons are responsible for ensuring that all *Workers* have evacuated the building.

Records of evacuation drills are maintained and, as a minimum, they include date and time of drill, shift information, the time it took to evacuate and to verify the complete evacuation of all people, the results of the drill and any corrective actions needed.

7.8 Legal compliance.

Applicable laws and regulations relating to fire protection, including fire classification, reporting, and inspections by the fire authorities, but not covered by the points of this chapter above are complied with.
If such inspections result in required corrective actions, the corrective actions are documented and completed within the specified timeframe.

8. Worker Health & Safety

8.1 Workplace *risk assessment*

A workplace *risk assessment* has been done for the whole site and all its workplaces. The workplace *risk assessment* is updated if operations are changed.

Steps are taken to reduce the need for *personal protective equipment (PPE)* by reducing the risks at source (e.g. by reducing noise levels, improving machine safety, using safe work *routines,* improving air quality etc.).

8.2 *Incidents* and *accidents*
A *routine* for reporting, analysing, following up and acting on *incidents* and *accidents* is implemented.

8.3 Health & safety training
Workers are given the necessary and adequate safety training before operating machines, equipment or carrying out potentially hazardous operations. The training provided is renewed according to legislation and/or identified needs.

Introductory training includes relevant information on health and safety aspects of daily work.

Descriptions and records of the training are available.

8.4 Machinery and other equipment
All machinery and other equipment used in production and operations are safe to use and equipped with the necessary safety devices in order to prevent injuries.

Machinery and other equipment like forklifts, escalators, automatic doors/gates, cranes/ lifts etc. are inspected and certified by technical inspection authorities or other certified or authorised persons according to legal requirements.

8.5 Safety information
Safety information and/or warning signs are clearly visibly at risk areas. The information describes the risk or hazard and how to minimise exposure and is in a form that is understandable to *Workers* using pictures and figurative signs and/or in written in a language understood by the *Workers*.

8.6 Safe working *routines*
Safe working *routines* are implemented to minimise risk of injuries and ill-health associated with hazardous work tasks like working in confined spaces, working at heights, working with mobile elevated platforms or cranes etc.

8.7 Safety hazards
Risks and other occupational hazards in the workplace that can cause an *accident*/injury are acted on and minimised.

Occupational hazards include but are not limited to unsecured electrical boards, traffic onsite, damaged staircases, damaged electrical wires or ungrounded machines, holes in the floor, storage of goods etc.

8.8 Personal protective equipment (*PPE*)
Appropriate *PPE* and protective clothing is available, maintained, used and provided free of charge for *Workers* and visitors in any harmful or potentially risky work areas.

Areas where *PPE* is needed are clearly marked.

8.9 *First aid equipment*
First aid equipment is adequately stocked and available to *Workers* during all shifts in all buildings and on each floor and in all trucks, locomotives and vessels.

The extent of the *first aid equipment* is based upon the size of the facility, the extent of the activities performed as well as the potential risk of injury.

First aid equipment is unlocked, placed in a clearly marked, designated area in a location that ensures easy and quick access in case of emergency, maintained in good condition and inspected regularly in order to secure its completeness and utility.

8.10 First aid trained persons

An adequate number of first aid trained persons are present during working hours covering all shifts and are easily recognised by *Workers*.

First aid trainers are certified trainers, doctors or nurses. Trainings are renewed at least once every 24 months or according to legal requirements.
Records of the training are kept by IKEA *Supplier* and include names of participants, dates of the training and an overview of the training content.

8.11 Workplace conditions and ergonomics

Good working conditions are provided. Monitoring of these working conditions include, but is not limited to, noise, temperature, light, air quality. Protocols from required measurements are maintained.

During high temperature periods the inside workplace temperature may be equal to the outside temperature provided there is a roof that provides shade and protection from sunlight.
Actions such as more frequent breaks and providing proper clothes, drinking water or fans etc. are taken and planned for.

The ergonomic conditions of the workplaces are assessed.
A documented plan how to reduce monotonous repetitive work and work positions etc. that can cause long-term injuries is in place and acted on.

8.12 Drinking water

Clean drinking water is provided to all *Workers* free of charge. Water dispensers are appropriately maintained and within a reasonable distance of the work area(s).

8.13 Housekeeping and hygiene

Good housekeeping to ensure a hygienic and safe environment for *Workers* is implemented.

All facilities are regularly cleaned and maintained in good condition.
An appropriate number of adequately equipped washing and toilet facilities are available.

8.14 Break areas

An adequate number of places where *Workers* can rest and eat during their breaks are available.

Workers are provided with appropriate places for meal breaks. Such areas are clean, in good condition, separated from the production environment such as noise, dust etc. and are equipped at least with chairs/benches and tables.

8.15 Alcohol and drugs

An alcohol and drug *policy* with the aim to prevent any work under the influence of alcohol, illegal drugs or any substance that prevents the *Worker* from performing the job safely and effectively is developed and actively communicated to and recognised by all employees.

8.16 Legal compliance

Applicable laws and regulations relating to health and safety issues, including classification, reporting and inspections by authorities, but not covered by the points of this chapter above are complied with.

Required corrective actions from such inspections are documented and completed within the set timeframe.

9. Recruitment, Working Hours, Wages and Benefits

9.1 Reporting and inspection by authorities.
Corrective actions required as a result of labour inspections or equivalent are documented and completed within the specified timeframe.

9.2 Recruitment *routines* and recruitment agents
All steps taken in the recruitment process and all agents involved in the entire process are identified and described to IKEA on request.

Any agent recruiting *Workers* has the legal licence to perform such activities.

9.3 *Employment contracts*
A written *employment contract* is signed with each Worker before they start work, which specifies terms of employment in a way understood by the Worker.

As a minimum the contract includes the name of employer, name of Worker, birth date, position, salary, working hours, overtime compensation, benefits and notice period.
Information about working hours, overtime compensation, benefits and notice period can instead be described in a *Workers* Handbook or equivalent.

If the *employment contract* is terminated according to agreed notice period there are no wage deductions for *Workers* who leave.

9.4 Payrolls and attendance records
Payrolls and attendance records relating to the documented payment of wages and working hours for each Worker are maintained.

Payroll records are kept by the *Supplier* for at least 24 months and include regular working hours, overtime working hours, wages derived from pieces produced, production bonuses, allowances, applicable deductions and net wages.

9.5 Working hours and overtime
Workers are not working more than sixty (60) hours per week, including overtime. Overtime hours are on a voluntary basis.

Under certain circumstances well defined in the local legislation and/or agreed with local work council/trade union, IKEA may approve that overtime hours are mandatory, during a short and limited period.

9.6 One day off in seven
Workers have at least one day off in seven.

9.7 Wages
Workers' wages, including compensation for overtime, are paid on time at regular intervals and at least monthly.

Deductions never exceed 20% of the *Worker's* wage and do not result in a wage paid out that is below the legal minimum wage.
Legally mandatory deductions (such as tax or pension funds) or agreed deductions for meals, housing and fees for membership in the labour union are excluded from the 20%.

Workers are not requested to pay any deposits.

Unless regulated by law, *Workers* are not paid less than the legal minimum wage if short term work stoppages are required by the employer.

Pay slips with complete pay information are provided at the end of each pay period. The pay slips include days worked, gross wages or piece rate earned, hours of overtime at specified rate, bonuses, allowances and legal contractual deductions, other deductions and net pay.

9.8 Leave
Workers have time off from their job according to applicable legislation, local traditions and standards.

9.9 Breaks
Workers are provided with appropriate time off for meals and breaks.

Workers are provided with at least one break per 5 hour work day/shift and the break is 30 minutes or more, unless otherwise agreed in writing between the *Supplier* and the *Workers* through the local trade union or other *Workers'* representatives.

9.10 Benefits
Workers are provided with all legally mandated benefits such as medical insurance, social insurance, pensions etc. to which they are entitled.

9.11 Legal compliance
Applicable laws and regulations relating to *Workers'* employment, but not covered by the points of this chapter above are complied with.

These include, but are not limited to laws and regulations relating to recruitment practices, agreements, working hours, wages, leave and benefits.

10. Accommodation

10.1 Housing conditions
Accommodation provided by the *Supplier* or on behalf of the *Supplier* offers adequate and safe conditions.

For single men or women separate *accommodation* of the gender is provided.

There are no restrictions which interfere with the Worker's right to leave the housing facility during their free time.

The average living space is not less than 3,8 m^2 per individual.
Housing facilities are adequately ventilated and/or heated.

Sleeping quarters are possible to lock from both outside and inside and each Worker has a locker to secure his or her belongings.
Workers are provided with their own individual bed/mattress or sleeping mat.

10.2 Housekeeping
All facilities are regularly cleaned and maintained in good condition.

An appropriate number of clean and adequately equipped washing and toilet facilities are available and maintained to a reasonable standard.

Areas where food service is prepared, provided or consumed meet local sanitation and hygiene regulations.

10.3 Safety
Emergency exits and routes ensure a fast and safe evacuation of all people.

As a minimum there are two independent emergency exits per floor and all emergency exits and access routes are free from obstruction and kept unlocked from inside.

The requirements on fire safety in *accommodation* are the same as per chapter 7 in this document: competence and training (7.3), firefighting equipment (7.4), evacuation alarm (7.6) and evacuation drills (7.7).

The housing facility is not located in a building where high risk operations are taking place.

10.4 Legal compliance
Applicable laws and regulations relating to *accommodation* but not covered by the points of this chapter above are complied with.

11. Child Labour and Young Workers

11.1 Prevention of *Child labour* at *Supplier*
The *Supplier* has a documented *routine* to prevent *Child labour* which is continuously implemented.

11.2 Response to *Child labour* at *Supplier*
The *Supplier* has a documented *routine* in place to ensure that *Child labour* identified at the *Supplier* will be acted upon immediately.

- All actions taken are in the best interest of the *child*. The response *routine* outlines all actions to remove the *child* from his or her position and to arrange for more viable and sustainable alternatives for the *child*'s development. The *routine* is in line with the "IKEA WAY on Preventing *Child Labour* and Supporting *Young Workers*".
- If *Child labour* is found, IKEA is informed immediately.

11.3 Prevention of *Child labour* at *sub-Suppliers*
The *Supplier* has a documented *routine* implemented to prevent the use of *Child labour* at sub-Suppliers.

11.4 Response to *Child labour* at *sub-Suppliers*
The *Supplier* has a documented *routine* in place to ensure that *Child labour* identified at the *sub-Supplier* will be acted upon immediately.

- All actions taken are in the best interest of *child*. The response *routine* outlines all actions to remove the *child* from its position and to arrange for more viable and sustainable alternatives for the *child*'s development. The *routine* is in line with the "IKEA WAY on Preventing *Child Labour* and Supporting *Young Workers*".
- If *Child labour* is found at any *sub-supplier*, IKEA will be informed immediately

11.5 Protection of *Young workers*
IKEA supports the legal employment of *Young workers*. *Young workers* are persons under 18 years of age, but above the minimum working age, who are engaged in work.

The *Supplier* ensures that *Young workers* are employed according to applicable law and protects them from any type of employment or work which by its nature or circumstances in which it is carried out is likely to jeopardize their health, safety or morals.

- The *Supplier* has identified types of employment or work that are appropriate for *Young Workers*.
- *Young workers* do not perform hazardous work.
- *Young workers* do not work during the night.

12. Discrimination

12.1 *Policy* and *routines* against discrimination
A *policy* and adequate *routines* describing preventive and corrective actions against discrimination are implemented.

12.2 Discrimination
There is no discrimination with regards to *Workers* based on race, religion, *gender identity*, marital or family status, age, political affiliation, nationality, physical ability, *sexual orientation*, *ethnicity* or any other dimension of their identity during recruitment and employment.

All *Workers*, including contracted and sub-contracted *Workers*, have equal rights and social benefits, unless legal restrictions apply.

12.3 Legal compliance
Applicable laws and regulations relating to discrimination, but not covered by the points of this chapter above are complied with.

13. Workers Involvement

13.1 Workplace conditions
There is a documented and, to *Workers*, well known way to influence the activities which improve IWAY related issues in the workplace through the establishment of a Health and Safety Committee or equivalent.

It addresses identified hazards, risks and concerns and results in documented actions to continuously improve the work place. It should also reduce the number of *incidents* and *accidents* and increase *Workers* involvement in the workplace.

The documented plans and results of actions are available for all *Workers*.

13.2 Grievance *routines*
There are documented *routines* on how to bring up issues and complaints regarding IWAY related issues e.g. around discrimination, *harassment* or abuse. These grievance routines are well known to *Workers*.

The grievance routines include how all *Workers*, including contracted and sub-contracted *Workers*, can bring up issues and complaints directly to the *Supplier*.

13.3 Freedom of association
The *Supplier* respects the rights of *Workers* to join, form or not to join an association of their choice without fear of reprisal, interference, intimidation or *harassment*.

In countries where the right to freedom of association is regulated, restricted or prohibited by law, the *Supplier* does not hinder alternative forms of independent and free Worker representation.

13.4 *Collective bargaining*
Workers are free to exercise *collective bargaining* without fear of reprisal, interference, intimidation or *harassment*.

In countries where the right to *collective bargaining* is regulated, restricted or prohibited by law, the *Supplier* does not hinder alternative forms of independent and free *Workers* negotiations.

13.5 Legal compliance
Applicable laws and regulations relating to *Workers* rights, but not covered by the points of this chapter above are complied with.

14. Harassment, Abuse and Disciplinary Actions

14.1 *Policy* and *routines* against *Harassment* and Abuse and Rules for Disciplinary Actions
A *policy* and adequate *routines* describing preventive and corrective actions against *harassment* and abuse and rules for disciplinary actions are implemented.

They cover and are communicated to all on site *Workers*, including contracted and sub-contracted *Workers*.

14.2 Punishments and appeal
The *Supplier* does not engage in, support or allow the use of corporal punishment, threats of violence or other forms of mental or physical coercion, and does not make use of public warning and punishment systems.

Workers, including contracted and sub-contracted *Workers* have the right to appeal against reprimands/disciplinary actions/dismissal. These appeals are recorded.

14.3 *Harassment* and Abuse
The *Supplier* does not engage in, support or allow any form of *harassment* or abuse on any *Workers*, including contracted and sub-contracted *Workers*, in the workplace and living space.

14.4 Legal compliance
Applicable laws and regulations relating to *harassment*, abuse and disciplinary actions but not covered by the points of this chapter above are complied with.

Definitions and Glossary of terms

Accident - an accident is any occurrence that leads to any kind of injury.

Accommodation - is a housing arrangement provided by an employer consisting of sleeping quarters or an entire building primarily providing rooms for individuals, families or for groups of Workers.
Truck driver cabins in the vehicle are not regarded as a provided housing facility / accommodation.

Apprenticeship / internship / vocational training or orientation: work that is done by a student of at least 14 years of age and is done as:

a. a course of education or training, for which a school or training institution is responsible;
b. and either a programme of training at a company / supplier, which has been approved by the competent authority or a programme of guidance or orientation, designed to facilitate the choice of the student of an occupation or of a line of training.

Every apprenticeship or vocational training of a person under the age of 18 has to be applied for and approved by IKEA prior to the start of apprenticeship or vocational training.

Bonded labour - is understood as labour not only physically bonded, but also bonded by financial debts, loans or deposits. Also see *Forced labour*.

Chemicals – means chemical substances and products including but not limited to: lubricant oil, diesel, glue, lacquer, solvents, paints, dyes, hardeners, stains, waxes, acids, salts, additives, gases etc.

Child: is every person under the age of 18 years.

Child labour: Child labour is work performed by a child which interferes with a child's right to healthy growth and development and denies him/her the right to quality education.
Child labour is work performed by a child below the minimum working age that has not been specifically approved by IKEA as light work or apprenticeship / vocational training.
The minimum working age is defined by the national legislation and is the age, above which a person can be employed on a full time basis. It can be 16 years, 15 years or 14 years in certain developing countries.

Collective bargaining - is defined as negotiations between employer and *Worker* representatives (freely and independently chosen by the *Workers*).

Continuously updated – means that documentation is updated when changes in production, operations or services are introduced. For example the introduction of a new chemical, requires that the list of *chemicals* is updated and the relevant *MSDS* is made available.

Critical sub-Supplier – The definition of a Critical sub-Supplier is set by the relevant IKEA Organisation based on the definition below.
*The sub-suppliers are defined as **Critical**, if processes performed are considered to be potentially highly harmful to the environment, health or safety of the Workers, or are in an industry or supply setup that is prone to child labour or forced & bonded labour.*

Employment contracts – is an agreement specifying the terms and conditions under which a person and a company agree to work. It can be replaced by appointment letter or offer letter.

Ethnicity - culture of heritage, who you are as a "people", belonging to a certain culture with a common language or dialect, traditions, etc.

Fire incident (near miss) - is a situation that can easily lead to a fire where people and/or equipment could be injured / damaged.

First aid equipment - means not only first aid boxes, but also other equipment required which is identified during *risk assessment* processes e.g. eye washer, emergency shower, collar, defibrillator, stretcher etc.

Forced labour - is understood as all work or service that a person is compelled to carry out under any threat of punishment or confiscation of personal belongings, such as ID card, passport etc., and for which work the person has not offered to participate voluntarily.

Gender identity - people's inner sense of their gender as women, men, or transgender.

Harassment - can be any offensive act, comment or display that humiliates insults or causes embarrassment, or any act of intimidation or threat. It includes, but is not limited to:

- serious or repeated rude, degrading or offensive remarks
- displaying sexist, racist or other offensive pictures, posters
- threats, intimidation or retaliation

Hazardous waste - hazardous waste is waste that could cause harm to public health and/or the environment because of its chemical, physical or biological characteristics (e.g., it is flammable, explosive, toxic, radioactive, or infectious). It includes, but is not limited to, hazardous waste identified by local legislation.

Incident (near miss) - is a situation in the workplace that could easily have resulted in injury or damage to people and/or the environment.

IWAY requirements or equivalent – where a *Supplier* has its own well developed and implemented requirements, systems and routines in place that cover all IWAY related topics, IKEA can, on a case by case basis, regard those *Supplier* requirements, systems and *routines* as equivalent to IWAY.

Light work: simple, limited tasks performed under adequate adult supervision, as long as they do not threaten the *child*'s health and safety, her/his right to play or hinder their education or vocational orientation and training. The requirements regarding safety and health for light work are the same as for *young workers* (no hazardous work). When permitted by national law, 13-14 year olds are allowed to perform light work.

MSDS – stands for Material Safety Data Sheet (MSDS), also known as Safety Data Sheet (SDS) or Product Safety Data Sheet (PSDA). An MSDS is a written document that provides Workers and emergency personnel with *routines* for handling or working with chemical substances in a safe manner.

Minimum working age: The minimum legal working age is defined by the national legislation and is the age, above which a person can be employed on a full time basis. It can be 16 years, 15 years, or 14 years in certain developing countries.

PPE (Personal protective equipment) - includes, but is not limited to e.g.: helmets, goggles, gloves, boots, ear plugs, aprons, masks etc.

Policy – The set of basic principles and associated guidelines, formulated and enforced by the management of a company, to direct and limit its actions in pursuit of long-term goals.

Prison Workers - IWAY requirements strictly forbid the use of prison Workers in the supply of products or services to IKEA. Consideration can be taken on a case by case basis for government programs supporting the positive integration of individuals back into society. The criteria, based on ILO conventions, are available upon request.

Risk assessment - is a careful examination of aspects in the workplace that could cause harm to people. An assessment would be evaluated to determine if sufficient precautions have been taken leading to corrective actions if required.

Routine – is a structured description of a specific working order for an activity or process. A routine is usually presented in a written form but can also be simplified and presented in pictures, instruction signs, graphs etc.

Sexual orientation - homosexuality, bisexuality, heterosexuality, pansexuality and asexuality.

Sub-Supplier - is defined as a company providing services, raw material, components, and /or production capacity to an IKEA Supplier.

Supplier in this document refers to any Seller, Vendor or Service Provider supplying and/or delivering products, components, materials or services to the IKEA Group of companies. This definition is applicable to all IWAY related documents.

Worker in this document includes own hired Workers as well as on-site temporary Workers, piece rate Workers, contracted Workers including migrant Workers, trainees and Workers on trial or probation.

Young worker - Young workers are persons under 18 years of age, but above the minimum working age, who are engaged in work.

Main References

R 1 The Universal Declaration of Human Rights (UN 1948)

R 2 Convention on the Rights of the Child (UN 1989).

R 3 Fundamental Principles and Rights at Work (ILO 1998) and related Conventions.

R 4 Occupational Safety and Health Convention (ILO Convention 155).

R 5 The Ten Principles of the UN Global Compact Framework (UN 2000).